

CHAPTER 2: THINKING LIKE AN ECONOMIST

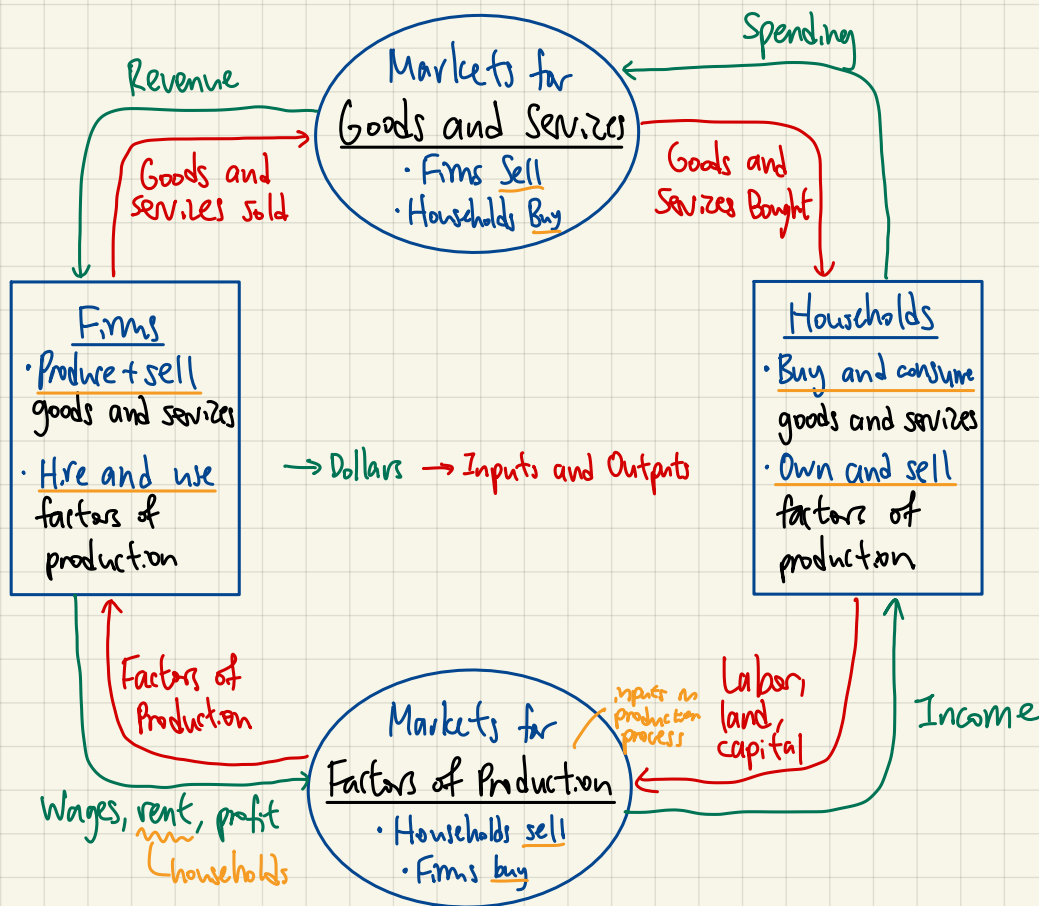
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DEFINITIONS

- **Microeconomics**: How households and firms make decisions and interact in specific markets
- **Macroeconomics**: Economy-wide phenomena, e.g. inflation, unemployment, economic growth
- **Natural experiment**: Real-world event that exposes one group to change while leaving a comparison group unaffected

THE CIRCULAR-FLOW DIAGRAM

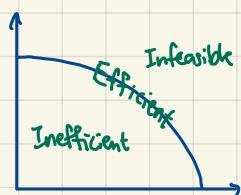
The **Circular-Flow Diagram** is a visual model of the economy that shows how dollars flow through markets among households and firms.



PRODUCTION POSSIBILITIES FRONTIER

PPF is a graph that shows various combinations of output that an economy can produce, given its available factors of production and technology.

- An outcome is **efficient** if no more of one good can be produced without producing less of the other, given the current resources of the economy → on the frontier
- An outcome is **infeasible** if the current resources the economy has are not enough to produce the desired goods → outside the frontier
- An outcome is **inefficient** if the economy can still produce more goods with its current resources → inside the frontier



POSITIVE VS NORMATIVE STATEMENTS

Positive statements are descriptive, and attempt to describe the world as it is. In principle, they can be confirmed or refuted with evidence.

Normative statements are prescriptive, and attempt to describe how the world ought to be, and **CANNOT** be settled by evidence alone.